

**Before the
Federal Maritime Commission**

Docket No. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.

v.

COSCO SHIPPING LINES CO., LTD.,

v.

**SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDSAP GLOBAL SCL ASIA
PACIFIC PTE LTD., AND SAMSUNG ELECTRONICS LOGITECH COMPANY,
LIMITED**

**COSCO'S OPPOSITION TO SAMSUNG ELECTRONICS COMPANY, LTD
MOTION TO DISMISS THIRD-PARTY COMPLAINT**

TABLE OF CONTENTS

	<u>Page</u>
INTRODUCTION	1
BACKGROUND	2
ARGUMENT	9
I. THE TPC SUFFICIENTLY ALLEGES SEC VIOLATED THE SHIPPING ACT BY KNOWINGLY EMPLOYING UNJUST AND UNFAIR MEANS TO OBTAIN LOWER RATES AND CHARGES.	9
A. A Complaint Stating a Plausible Claim for Relief is not Subject to Dismissal	9
B. The Substantive Standards of 46 U.S.C.....	11
C. The Third-Party Complaint Alleges Each 46 U.S.C	11
II. THE PRESIDING OFFICER MAY NOT IMPOSE A HIGHER STANDARD OF PLEADING.....	19
III. SEC’S ARGUMENTS, BASED ON THE WRONG PLEADING STANDARD, LACK MERIT.	21
A. The TPC Sufficiently Alleges Wrongful Conduct by SEC	22
B. SEC’s Argument Regarding Breach of Contract Is Irrelevant	23
C. COSCO Alleges “Knowing and Willful” Conduct by SEC.....	24
D. The TPC Alleges False or Fraudulent Conduct by SEC that benefited SEC and the Other Samsung Entities.....	24
IV. COSCO IS ENTITLED, IF NECESSARY, TO AMEND THE TPC.....	25
V. CONCLUSION.....	26

TABLE OF AUTHORITIES

	Page(s)
Federal Cases	
<i>Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.</i> , FMC Dkt No. 02-04, 30 S.R.R. 991 (FMC 2006)	9
<i>Anderson News, LLC v. Am. Media, Inc.</i> , 680 F.3d 162 (2d Cir. 2012).....	10
<i>Anton v. Greyhound Van Lines, Inc.</i> , 591 F.2d 103 (1st Cir. 1978).....	5
<i>Ashcroft v. Iqbal</i> , 556 U.S. 662 (2009).....	9
<i>Bank Line Limited v. Jet Set Marine, Inc.</i> , FMC Dkt. No. 91-58, 26 S.R.R. 380 (ALJ Denial of Summary Judgment, May 8, 1992)	17
<i>Bell Atlantic Corp. v. Twombly</i> , 550 U.S. 544 (2007).....	9, 10
<i>Capitol Transportation, Inc. v. United States</i> , 612 F.2d 1312 (1st Cir. 1979).....	17
<i>Cargo One, Inc. v. COSCO Container Lines, Co.</i> , FMC Dkt. No. 99-24, 2000 WL 1648961 (Oct. 31, 2000)	9
<i>Cargo One Inc. v. COSCO Container Lines Co., Ltd.</i> , FMC Dkt No. 99-24, 28 S.R.R. 1351 (ALJ 2000).....	2
<i>CCMA LLC v. Maersk A/S</i> , FMC Dkt. No. 22-01, 2022 WL 458571 (ALJ Order Granting Motion to Amend Complaint, February 7, 2022)	25
<i>Cornell v. Princess Cruise Lines, Ltd</i> , FMC Dkt No. 13-02, 33 S.R.R. 614 (2014).....	10
<i>D.F. Young, Inc. v. Wallenius Wilhelmsen Logistics</i> , FMC Dkt. No. 23-14, 2024 WL 402469 (ALJ Order Granting Leave to Amend Complaint, January 23, 2024)	25
<i>Global Transporte Oceanico S.A. v. Coler Ocean Independent Lines Co.</i> , FMC Dkt. No. 99-14, 1999 WL 1000658 (Initial Decision, October 1, 1999)	17

<i>Hohenberg Brothers Co. v. FMC</i> , 316 F.2d 381 (D.C. Cir. 1963)	12, 13, 18
<i>Kanu v. Ejike Dickson Eze</i> , FMC Dkt. No. 25-05 (Order requiring complainant to file a motion for leave to amend and proposed amended complaint, May 28, 2025)	25
<i>Kraft Foods v. Moore McCormack Lines</i> , 17 FMC 320 (FMC 1974)	5
<i>Maher Terminals, LLC v. the Port Authority of New York and New Jersey</i> , FMC Dkt. No. 12-02, 2015 WL 9426189 (Dec. 18, 2015)	19, 25
<i>Marine Transportation Logistics, Inc. v. CMA CGM</i> , FMC Dkt. No. 18-07, 2019 WL 5206007 (ALJ, Order Denying Motion to Dismiss, October 8, 2019)	10
<i>MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd.</i> , FMC Dkt. No. 21-05, 2022 WL 458569 (ALJ Order on Motion to Amend Complaint, February 4, 2022)	25
<i>MCS Industries, Inc. v. Cosco Shipping Lines Co., Ltd.</i> , 2023 WL 9604492 (Initial Decision, January 13, 2023)	23
<i>Miscellaneous Amendments to the Rules of Practice and Procedure</i> , 26 S.R.R. 1053 (FMC 1993)	19
<i>Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.</i> , FMC Dkt. No. 09-01, 31 S.R.R. 1369, <i>aff'd in pertinent part</i> , 32 S.R.R. 126 (FMC 2011)	20, 21
<i>MSC Mediterranean Shipping Co. S.A. v. Fed. Mar. Comm'n</i> , 141 F.4th 222 (D.C. Cir. 2025)	23
<i>Negron v. USAA Casualty Insurance Co.</i> , No. 3:13-01020, 2014 WL 4411676 (M.D. Tenn Sept. 8, 2014)	10
<i>OC International Freight, Inc.</i> , Docket No. 12-01, 2014 WL 5316336 (FMC 2014)	11
<i>Pacific Far East Lines – Alleged Rebates to Foremost Dairies et al.</i> , 10 S.R.R. 1 (FMC 1968)	11
<i>Rana v. Franklin</i> , FMC Dkt. No. 19-03, 2020 WL 2538465 (Initial Decision, May 12, 2020), <i>aff'd</i> , 2022 WL 1744905 (May 23, 2022)	12, 16

<i>Rose International, Inc. v. Overseas Moving Network International, Ltd.,</i> FMC Dkt No. 96-05, 29 S.R.R. 119 (2001).....	10, 11
<i>Samsung Elec. Am., Inc. v. HMM Co. Ltd.,</i> FMC Dkt No. 24-23 (ALJ Order Partially Granting Motion to Dismiss, March 24, 2025)	19
<i>Samsung Elec. Am., Inc. v. Orient Overseas Container Line Limited,</i> FMC Dkt. No. 24-17, 2025 WL 2207363 (Remand Order, July 30, 2025).....	<i>passim</i>
<i>Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited,</i> FMC Dkt. No 24-17 (FMC July 30, 2025)	8
<i>Samsung Electronics America, Inc. v. SM Line,</i> FMC Dkt. No. 23-01	6
<i>Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services, Ltd.,</i> FMC Dkt. No. 22-30 (Initial Decision, Slip Op., Finding of Fact #134)(April 22, 2025)	6
<i>Shipco Transport, Inc. v. Saturn Air Cargo,</i> FMC Dkt. No. 25-07, 27 S.R.R. 437 (Initial Decision, June 2, 1995)	16, 17
<i>Simple Forwarding, Inc. v. China United Lines Ltd. and Norton Lilly Int’l,</i> FMC Dkt. No. 2010(F) (ALJ Order granting claimant’s motion for leave to amend complaint, October 4, 2024).....	25
<i>Tropical Shipping & Construction Co., Ltd. v. Valley Wide Produce, Inc.,</i> FMC Dkt. No. 93-05, 1993 WL 285897 (ALJ Default Judgment, July 20, 1993)	<i>passim</i>
<i>TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.,</i> FMC Dkt. No. 24-10 (Order Granting Motion for Leave to File an Amended Complaint, October 4, 2024)	25
<i>U.S. Lines and Gondrand Bros,</i> 7 F.M.C. 464 (FMC 1962).....	11
<i>Unpaid Freight Charges,</i> 26 S.R.R. 735 (FMC 1993).....	12, 24
<i>Unpaid Freight Charges,</i> 26 S.R.R. 737 (FMC 1993).....	11, 16
<i>W.C. Smith, Inc. v. Yellow Freight Sys., Inc.,</i> 596 F. Supp. 515 (E.D. Pa. 1983)	5

<i>Waterman Steamship Corporation v. General Foundries Inc.</i> , 1993 WL 13975538 (December 8, 1993)	5, 9
--	------

Federal Statutes

1 U.S.C 1	11
46 U.S.C. § 41102(a)	<i>passim</i>
46 U.S.C. § 40502(f)	23

Rules

Fed. R. Civ. P. 9(b)	<i>passim</i>
Fed. R. Civ. P. 12(b)(6)	10

Regulations

46 C.F.R. § 502.12	20
46 C.F.R. § 502.67	21
46 C.F.R. § 502.64(b)(4)	9
46 C.F.R. § 520.7(c)	22
46 C.F.R. § 530.10	22
46 C.F.R. § 545.5	5
64 Fed. Reg. 11186, 11198 (March 8, 1999)	22

Respondent and Third-Party Complainant COSCO Shipping Lines Co., Ltd., (“COSCO”), by its undersigned attorneys, respectfully submits this response to the motion (“Motion”) of Samsung Electronics Company, Ltd. (“SEC”), to dismiss COSCO’s Third-Party Complaint (“TPC”).¹

INTRODUCTION

The essence of COSCO’s Third-Party Complaint, along with its Counterclaim, is about a group of affiliated companies involved in international commerce that decided to improve the bottom line by obtaining transportation rates and charges below those otherwise available via a scheme of deception and concealment. The group consisted of SEC and three affiliates—Samsung SDS Asia Pacific Ptd LTE (“SDSAP”), Samsung Electronics Logitech Company (“Logitech”), and Samsung Electronics America, Inc. (“SEA”) (collectively, the “Samsung entities”).² Third-Party Respondent SEC was an integral part of the group’s scheme to obtain rates and charges – promising in writing to incur certain charges in exchange for lower rates and charges, even though the Samsung entities did not plan to honor that obligation. In this respect, the case here is much like *Tropical Shipping & Construction Co., Ltd. v. Valley Wide Produce, Inc.*, FMC Dkt. No. 93-05, 1993 WL 285897 (ALJ Default Judgment, July 20, 1993), where the ALJ concluded that the shipper violated 46 U.S.C. § 41102(a)(1) by signing a credit agreement in order to obtain better terms and conditions, then dishonoring its agreement.

¹SEC in its Motion (at 1) identifies itself as “Samsung Electronics Co., Ltd.”

²SEC identifies them as Samsung SDS Asia Pacific Ptd ltd. and Samsung Electronics Co., Ltd. Mot. at 1.

BACKGROUND

I. STATEMENT OF FACTS³

For the period 2021 and 2022, COSCO and SEC, with and through affiliated members of the Samsung entities, negotiated four separate service contracts for transportation between Asia and the United States—No. GKU21006 (for 2021); No. GKU22006 (for 2022); No. GKU21005 (for 2021) and No. GKU22005 (for 2022) (the “Service Contracts”). TPC ¶¶ 9-11. These Service Contracts were then signed by SEC’s affiliates SDSAP and Logitech TPC ¶¶ 13-19. Each of the Service Contracts was duly filed with the Federal Maritime Commission (“FMC” or “Commission”), and each provided for the application of United States law, including the Shipping Act. TPC ¶¶ 15, 17. The Service Contracts were expressly binding not just on SDSAP and Logitech, as signatories, but also on SEC and the other Samsung named affiliates, including Samsung Electronics America, Inc. (“SEA”). SDSAP and Logitech were directed by SEC and SEC played an intimate role in the negotiation and implementation of the Service Contracts.⁴

Each of the Service Contracts originated as a Request for Quotation (“RFQ”) seeking bids for ocean transportation to be provided to the Samsung entities. Such RFQs were sent not just to COSCO, but also to multiple other ocean common carriers. TPC ¶ 9.

The RFQs to which COSCO responded, and the Service Contracts into which COSCO and SEC entered, required two types of ocean transportation—port-to-port or container yard-to-container yard (“CY-CY”) and container yard-to-door (“CY-Door” or “store door”) transportation.

³In evaluating the TPC, the Presiding Officer must assume all facts alleged in the TPC to be true and must view them in a light most favorable to COSCO. *See Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, FMC Dkt No. 99-24, 28 S.R.R. 1351, 1365 (ALJ 2000).

⁴As SEC itself acknowledges: “As alleged by COSCO, the sequence of events in this matter is straightforward. SEC and COSCO allegedly negotiated and entered into service contracts in 2021 and 2022 (TPC ¶¶ 9–11) which were then signed by SDS and Logitech (TPC ¶¶ 13–19).” Mot. at 3.

TPC ¶¶ 22-23. Under CY-CY transportation, the ocean common carrier's obligation of common carriage ends for a particular container once that container is discharged from the vessel (in this case in the United States) and made available for pickup by the consignee. Under CY-Door, the ocean common carrier's obligation extends past discharge at the port and extends until delivery to an address designated by the consignee.

CY-Door delivery on a "through" bill of lading can be structured in two ways. Under the first form, the ocean common carrier itself chooses and hires the trucking company and executes a contract with the trucker, known colloquially as a "house" trucker. The ocean carrier has operational control over the trucker and is normally responsible for any delays or problems caused by the trucker unless delays or problems are due to the actions of the consignee and/or its agents. TPC ¶ 28.

In the second form of store door delivery, known as Customer-Nominated Trucker ("CNT"), the consignee, rather than the ocean carrier, selects the trucker to perform inland delivery and return the container. The consignee chooses the trucker and controls its activities (e.g., when the trucker comes to pick up or return containers). The contract is between the trucker and the consignee, not between the trucker and the ocean common carrier. The ocean carrier's role is only to execute the contract as agent for the consignee and to pay the fixed and normal costs of inland transportation provided by the CNT.

As detailed below, the Service Contracts followed the second form of store door delivery, at the specific demand of the Samsung entities. *Id.* ¶ 30. The Service Contracts each contained provisions (including terms incorporated from COSCO's governing tariff) under which the Samsung entities had the authority to select and control the truckers used to deliver the containers to the consignee (or at its designated address (including direct delivery to SEA's and the Samsung

entities' customers). *Id.* ¶¶ 47-48. The provisions protecting COSCO from responsibility for actions of the consignee or its agent CNT were expressly required by COSCO as part of the consideration for the below-market rates and other favorable terms and conditions that the Service Contracts provided to the Samsung entities. *See id.* ¶¶ 32, 41.

SEC, like the other Samsung entities, was well aware that the Service Contracts made the Samsung entities responsible for delay costs attributable to them or their CNTs. *Id.* ¶ 45. SEC and the other Samsung entities negotiated, and SDSAP or Logitech signed, both contracts knowing that fact without expressing any reservations or disclosing that the Samsung entities did not intend to abide by the express terms of the contracts, just as the shipper did in *Tropical Shipping*. *Id.* ¶¶ 45-46, 65.

As noted above, the RFQs issued by the Samsung entities for ocean transportation contracts required that responses: (i) offer both CY-CY and store door rates; and (ii) permit the Samsung entities to choose and control the CNTs that would carry cargo from the port or rail head to places designated by the Samsung entities and then return empty containers to return facilities designated by COSCO.

Because CNTs can incur substantial delay charges such as detention and demurrage, COSCO was willing to allow the Samsung entities to choose and control the CNTs, but only on conditions limiting COSCO's liability for such charges incurred by the Samsung entities and their CNTs. TPC ¶¶ 47-48. Accordingly, one of COSCO's principal conditions for agreeing to the Service Contracts and providing SEC with the lower rates offered thereby (compared to tariff rates or other service contracts offered by COSCO), and for allowing the Samsung entities to choose and control CNTs, was that COSCO would not be responsible for any costs associated with delays, unless COSCO itself was responsible for the delay. *Id.* ¶ 45. Thus, apart from paying the truckers

the basic drayage rate as agent for the Samsung entities, COSCO conditioned its entry into the Service Contracts on the Samsung entities accepting responsibility for all charges connected with the actions of the Samsung entities or their CNTs not caused by COSCO, specifically including charges such as detention, demurrage, and storage at ocean terminals, rail terminals, or other facilities. *Id.* ¶¶ 45, 48. SEC agreed to this condition by directing its affiliates to sign the Service Contracts and binding SEC thereto when it knew that it and the other Samsung entities were agreeing to bear the responsibility for any delay costs not caused by COSCO. *Id.* ¶ 45.

In this respect, the Service Contracts incorporated the following provision of published Tariff Rule Number 201-002-064, which stated:

[W]hen a customer nominated trucker (CNT) is used at the request of Shipper (or any other entity with an interest in the cargo) for store door delivery to a cargo receiver then, notwithstanding anything to the contrary in the bill of lading issued for that shipment, the following terms and conditions shall apply: • Carrier will act ***as agent of Shipper*** for purposes of arranging the trucking, ***and the contract of carriage for inland transportation shall be deemed to be between the trucker and Shipper*** or the owner of the cargo. The ***CNT will be employed by the Shipper*** or the owner of the cargo, ***not Carrier***, even though Carrier's rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper.

TPC ¶ 41 (emphasis added).⁵

The CNTs hired by the Samsung entities ran up significant detention and demurrage charges without any fault by COSCO. TPC ¶ 45. Because the Samsung entities refused to identify or give reasons for the specific containers the entities claim they could not pick up or deliver timely,

⁵Public tariffs give notice to the entire world, and shippers are charged both by the Shipping Act and by federal maritime law, with an obligation to know them and a presumption that they did know them. See, e.g., *Kraft Foods v. Moore McCormack Lines*, 17 FMC 320, 323 n.4 (FMC 1974) (shipper is presumed to have knowledge of tariff rules) (cited by the Commission in promulgating the Interpretive Rule, 46 C.F.R. 545.5); *Waterman Steamship Corporation v. General Foundries Inc.*, 1993 WL 13975538 (December 8, 1993) (“a shipper is presumed to know the rates it has to pay in a filed tariff”); *Anton v. Greyhound Van Lines, Inc.*, 591 F.2d 103, 108 (1st Cir. 1978); *W.C. Smith, Inc. v. Yellow Freight Sys., Inc.*, 596 F. Supp. 515, 517 (E.D. Pa. 1983) (shippers are charged with knowledge of tariff).

COSCO cannot now say whether the fault in particular instances was attributable to the Samsung entities or to their CNT. TPC ¶¶ 52. But that is immaterial to resolution of SEC’s motion to dismiss because it is indisputable the Samsung entities selected and controlled the CNT. As a result, they were responsible for both their own (or SEA’s) defaults and those of their CNTs.

There was plenty of blame attributable to the Samsung entities and their CNTs. Among other things, the Samsung entities/their CNTs repeatedly accrued demurrage by allowing shipments to linger at marine terminals for periods long past the expiration of free time, rather than directing its CNT to perform timely pickup. *See* TPC ¶¶ 59-61. In so doing, the Samsung entities ignored multiple timely communications from COSCO notifying them of each shipment’s last free day and accrued demurrage. *See* TPC ¶ 52. Further, the Samsung entities did not timely respond to “hastening notices” sent by COSCO, seeking instructions with respect to shipments in demurrage which continued to remain at the terminals. *Id.*⁶

Despite SEC explicitly agreeing, as set forth in the contracts, that it and the other Samsung entities would be responsible for delays associated with the Samsung entities/their CNTs, the Samsung entities (including SEC) demanded repayment from COSCO and other ocean common carriers⁷ of charges that were properly assessed to the Samsung entities. TPC ¶ 49.

For example, the Samsung entities, via agent SEA, sent a demand letter (“Demand Letter”) to COSCO, dated September 23, 2022. *Id.* ¶ 51. In the Demand Letter, the Samsung entities baldly asserted that COSCO was required to refund the Samsung entities the amounts the Samsung

⁶COSCO’s allegations are especially plausible in light of findings that Samsung entity SEA was responsible for charges incurred on shipments handled by other carriers. *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services, Ltd.*, FMC Dkt. No. 22-30 (Initial Decision, Slip Op. at p. 45, Finding of Fact #134)(April 22, 2025). *Samsung Electronics America, Inc. v. SM Line*, FMC Dkt. No. 23-01 (Initial Decision, Slip Op. at pp. 19-20, Findings of Fact #s 53-60; p. 34 (FF#170); p. 35 (FF#179) (May 28, 2025).

⁷*See* FMC Docket Nos. 22-30 (Zim), 23-01 (SM Line), 24-17 (OOCL), and 24-23 (HMM).

entities purportedly paid for detention, demurrage, railroad storage, and various other third-party charges, simply because the underlying shipments moved pursuant to store door terms. *Id.* The Samsung entities (i) did not identify the relevant shipments; (ii) did not correlate charges to specific shipments; and (iii) did not explain why specific charges for these unidentified shipments should be mitigated or refunded. TPC ¶ 52. And the Samsung entities never explained, either in the Demand Letter or otherwise, why they (or their CNTs) failed to request additional free time or to timely challenge COSCO charges at the time invoiced by COSCO. *Id.* COSCO responded to the Demand Letter, noting the dearth of information. *Id.*

Although, as discussed below, SEC's affiliate and consignee SEA eventually filed an FMC complaint ("SEA Complaint") seeking ill-gotten gains, the SEA Complaint is at most tangential to the Third-Party Complaint against SEC, as SEC had violated the Shipping Act well before the SEA Complaint was filed, and COSCO could have filed its own complaint against SEC even if the SEA Complaint had never been filed.

The TPC alleges that the activities covered by both the TPC and the Counterclaim were committed collectively by SEC and other Samsung entities with SEA. *See* TPC ¶¶ 65-67. Although the question of exactly what steps individual Samsung entities, including SEC, took as part of their joint activity will be clarified through discovery, they carried out their scheme in tandem. The only reason that they are not joined as respondents in a single complaint is that SEA filed its complaint first.

The TPC, like the Counterclaim, alleges two separate unfair or unjust means by which the Samsung entities obtained or sought to obtain rates and charges lower than those otherwise applicable, neither of which depends on the SEA Complaint.⁸

First, as a way to obtain lower *ocean freight rates* than COSCO would otherwise have offered, the Samsung entities employed the unjust and unfair means of inducing COSCO to enter into the contracts by deceptively indicating to COSCO that the Samsung entities, specifically including SEC, agreed to facially indisputable provisions of the Service Contracts, tariff, and bills of lading as to responsibility for detention and demurrage charges, while concealing their intention to dishonor those provisions.

Second, the Samsung entities conspired to obtain or attempt to obtain ocean transportation at less than the applicable detention and demurrage rates by falsely representing themselves as willing to take responsibility for such charges, then refusing to do so.

⁸These allegations in the TPC distinguish the TPC from the more limited original Counterclaim in *SEA v. OOCL*, where the Commission found the allegations insufficient to state a claim of the type made here:

OOCL's brief argues that SEA and Samsung violated section 41102(c) by engaging in deception in the making and performance of the service contracts, specifically by obtaining lower rates than OOCL would have agreed to, had it known the Samsung parties had a more constrained view of their responsibility for delays than OOCL did. *See Appeal* at 15-16. But the current counterclaim does not make such an allegation, and so it does not constitute a facially plausible claim *here*.

Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited, FMC Dkt. No 24-17, *17 (FMC July 30, 2025)(Order Affirming Dismissal of Counterclaim) (emphasis added).

ARGUMENT

I. THE TPC SUFFICIENTLY ALLEGES SEC VIOLATED THE SHIPPING ACT BY KNOWINGLY EMPLOYING UNJUST AND UNFAIR MEANS TO OBTAIN LOWER RATES AND CHARGES.

As addressed in detail below, SEC rests its motion to dismiss largely on its assertion that claims under 46 U.S.C. 41102(a) are subject to heightened pleading requirements, relying on Fed. R. Civ. P. 9(b) for fraud claims in federal courts. But the Commission has expressly held, in a rulemaking, that such heightened requirements *do not apply* at the FMC because such heightened standards are *inconsistent with sound administrative practice*. The Presiding Officer lacks authority to overrule the Commission, and any change would require a new rulemaking, which could not apply to claims filed before the effective date of the new rulemaking. Because the FMC procedural rules currently in force expressly exclude pleading requirements similar to Federal Rule 9(b), SEC's motion fails because the TPC plainly states a plausible claim against SEC.

A. A Complaint Stating a Plausible Claim for Relief is not Subject to Dismissal.

Claims under 46 U.S.C. 41102(a), whether by original complaint, counterclaim, or third-party complaint, are subject to the same standard applicable to all other complaints alleging a violation of the Shipping Act. 46 C.F.R. § 502.64(b)(4). And a fundamental principle of the Shipping Act is that the Commission is statutorily obligated to hear any claim alleging a Shipping Act violation unless the complaint fails to state a claim.⁹

⁹See, e.g., *Cargo One, Inc. v. COSCO Container Lines, Co.*, FMC Dkt. No. 99-24, 2000 WL 1648961, *13-15 (Oct. 31, 2000); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt No. 02-04, 30 S.R.R. 991, 998 (FMC 2006); *Waterman S.S. Corp. v. General Foundries Inc.*, FMC Dkt No. 93-15, 1993 WL 13975538 at *5 (Initial Decision, December 9, 1993), *partially adopted*, 1994 WL 279898 (FMC 1994) (“Congress has given persons such a right to file their complaints before the Federal Maritime Commission and has, furthermore, required the Commission to investigate any such complaint”).

When evaluating the SEC motion to dismiss, the *Iqbal/Twombly* facial plausibility standard applies.¹⁰ See *Samsung Elec. Am., Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 24-17, 2025 WL 2207363, at *4 (Remand Order, July 30, 2025) (“*SEA v. OOCL*”). Under that standard, COSCO’s complaint against SEC **may not** be dismissed if it contains sufficient factual allegations, **which must be accepted as true**, to “state a claim for relief that is plausible on its face.” *Twombly*, 556 U.S. at 570. A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Iqbal*, 550 U.S. at 663. The Commission must treat COSCO’s allegations as true, and it must “construe the factual allegations in the complaint in the light most favorable to [COSCO] and must grant [COSCO] the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt No. 13-02, 33 S.R.R. 614, 620-621 (2014) (citations omitted).

On a motion to dismiss, the question is not whether the complainant is likely to prevail on its claim but only whether the claim is adequately pled. *Negron v. USAA Casualty Insurance Co.*, No. 3:13-01020, 2014 WL 4411676 at *2 (M.D. Tenn Sept. 8, 2014); accord *Twombly*, 550 U.S. at 556. It is thus sufficient if the TPC’s factual allegations are enough to “raise a right to relief above the speculative level and ... nudge across the line from conceivable to plausible.” *Marine Transportation Logistics, Inc. v. CMA CGM*, FMC Dkt. No. 18-07, 2019 WL 5206007 at *3 (ALJ, Order Denying Motion to Dismiss, October 8, 2019). Furthermore, the “choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d

¹⁰*Ashcroft v. Iqbal*, 556 U.S. 662 (2009) and *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007).

Cir. 2012). A complainant must simply present “enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Twombly*, 550 U.S. at 556.

B. The Substantive Standards of 46 U.S.C. § 41102(a).

Section 41102(a) provides: “A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, *or any other unjust or unfair device or means*, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” (Emphasis added). To make out a violation of 46 U.S.C. § 41102(a), a complainant need only show that: (a) a person, (b) knowingly and willfully, (c) by an unjust device or means, (d) obtained or attempted to obtain ocean transportation of property at less than the rates or charges that would be otherwise applicable. *Rose International, Inc. v. Overseas Moving Network International, Ltd.*, FMC Dkt No. 96-05, 29 S.R.R. 119, 158 (2001).

C. The Third-Party Complaint Alleges Each 46 U.S.C. § 41102(a) Element.

The TPC adequately alleges each element of a claim under Section 41102(a).

1. SEC is a “Person.”

SEC is indisputably a “person” within the meaning of 46 U.S.C. § 41102(a), which defines the term to “include corporations, companies, associations, firms, partnerships, societies, and joint stock companies, as well as individuals.” 1 U.S.C. 1. As used in 46 U.S.C. § 41102(a), the words “any person,” are as broad as the words “shipper, consignor, consignee, forwarder, broker, or other person.” *U.S. Lines and Gondrand Bros*, 7 F.M.C. 464, 471 (FMC 1962); *accord OC International Freight, Inc.*, Docket No. 12-01, 2014 WL 5316336 (FMC 2014); *Unpaid Freight Charges*, 26 S.R.R. 737, 739 (FMC 1993). COSCO alleges that SEC is a corporation “organized and existing under the laws of South Korea,” and that SEC was the Shipper Party to the Service Contract,

meaning SEC was a shipper under the Shipping Act. TPC ¶¶ 4, 14. Accordingly, COSCO adequately alleges that SEC is a person.

2. SEC Acted “Knowingly and Willfully.”

Under the Shipping Act, a person acted “knowingly and willfully” “if the person had knowledge of the facts of the violation and intentionally violated or acted with reckless disregard, plain indifference, or purposeful, obstinate behavior akin to gross negligence.” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Dkt. No. 96-05, 29 S.R.R. 119, 164-165 (June 1, 2001); *OC International Freight, Inc.* FMC Dkt. No. 12-01, 2014 WL 5316336 at *3 (July 31, 2014). “If the scheme itself is illegal, the words, ‘knowingly and willfully’ . . . mean simply that the shipper’s participation was with knowledge of the benefits which would flow from the arrangement and an intent to enjoy such benefits.” *Pacific Far East Lines – Alleged Rebates to Foremost Dairies et al.*, 10 S.R.R. 1, 7 (FMC 1968). Here, the TPC alleges that SEC, along with the other Samsung entities, “knowingly and willfully” engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply. TPC ¶ 54. And SEC was amply aware of the benefits that would flow from the Service Contracts and both intended to (and did) enjoy them. *See, e.g.*, TPC ¶¶ 53-61. Those allegations must be taken as true and are sufficient to plausibly allege that SEC acted “knowingly and willfully.”

3. The Concerted Actions of the Samsung Entities Constitute an “Unjust Device or Means.”

All that a complainant must plead to make a plausible allegation of an unjust or unfair device or means is “*some element* of falsification, deception, fraud, or concealment.” *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (emphasis added) (quoting from *Pacific Far East Lines – Alleged Rebates*, 11 F.M.C. 357, 364 (FMC 1968), *aff’d*, 410 F.2d 237 (D.C. Cir. 1969)); *see also, e.g., Rana v. Franklin*, FMC Dkt. No. 19-03, 2020 WL 2538465 at *23 (Initial

Decision, May 12, 2020), *aff'd*, 2022 WL 1744905 (May 23, 2022); *Waterman Steamship Corp. v. General Foundries, Inc.*, FMC Dkt. No. 93-15, 1994 WL 279898 at *7 (1994).

The TPC alleges two separate schemes by SEC and the other Samsung entities to obtain or attempt to obtain ocean transportation at less than the otherwise rates and charges. First, and dating back to entry into the Service Contracts, SEC induced COSCO to enter into Service Contracts with lower ocean freight rates by misrepresenting its willingness to incur responsibility for delay costs caused by the Samsung entities or their CNTs. Second, the Samsung entities tried, and continued trying, to strongarm COSCO into waiving or refunding charges that were properly assessed by COSCO and that the Samsung entities knew they were legally obligated to pay.

Starting with the second scheme, a party's attempts to pressure another party into granting a refund by means other than a complaint may constitute an unfair device or means within the meaning of 46 U.S.C. § 41102(a). In *Hohenberg Brothers Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963), for example, the court, in upholding a Commission cease-and-desist order, held that an entity violated 46 U.S.C. § 41102(a) when it demanded refunds to which it was not entitled. In that case, as here, the shipper paid the charge assessed by the carrier, then demanded a partial refund. In finding an unjust device or means, the court explained its holding as follows:

In this case, Hohenberg demanded a rebate on the basis of a claim that it knew ***or should have known*** to be false. Such action is similar in nature to “false billing,” “false classification,” etc., and under well known principles of statutory interpretation may properly be considered to fall within the comprehensive final phrase “any other unjust or unfair device or means.”

Hohenberg Brothers Co., 316 F.2d at 385 (emphasis added).

COSCO's complaint against SEC and the other Samsung entities is on all fours with *Hohenberg*. Here, COSCO alleges that the Samsung entities, including SEC, knew that the Service Contracts, to which the Samsung entities were bound, provided that the Samsung entities, ***not COSCO***, would be responsible for delays involving the CNT chosen and controlled by the

Samsung entities, unless the specific delay was due to COSCO fault. TPC ¶¶ 45. Although SEC and the other Samsung entities knew, or should have known, that delay charges were their responsibility, they, like Hohenberg, paid some of the legally-mandated charges to COSCO, then refused to pay over \$4 million in properly assessed charges and demanded in bad faith that COSCO waive the \$4 million and refund not only delay charges properly assessed against them by COSCO but also delay charges imposed by third parties unrelated to COSCO, so neither assessed by COSCO nor paid to COSCO. TPC ¶¶ 49; 51-52; 59.¹¹

SEC's argument that the Samsung entities' ultimate refusal to pay some of the delay charges somehow establishes that SEC did not conceal its intention to not honor the service contracts and its disagreement with their terms (Mot. at 16-17) is wide of the mark. SEC and the other Samsung entities' concealment began during the negotiation of the Service Contracts, when they induced COSCO to agree to lower than applicable tariff rates by agreeing to take financial responsibility for delays, when they had no intent of doing so. That the Samsung entities later refused to pay some detention charges does not undo their misconduct—and is consistent with their plan. Further, the Samsung entities' scheme continued throughout terms of the Service Contracts, until the Demand Letter. The refusal to pay, as to which SEC has offered neither a date nor any assertion that SEC said its refusal was due to the charges being unlawful, at most makes a small change to the date on which COSCO was finally aware of the Samsung entities' deception.

SEC's contention that COSCO's claim somehow rests on SEA's filing a complaint against COSCO, Mot. at 19, cannot stand. As SEC concedes, COSCO's claim "made no specific

¹¹In *SEA v. OOCL*, 2025 WL 2207363, at *8, the Commission distinguished *Hohenberg* on the basis that "that case involved a shipper's direct request to a carrier for a refund, not an FMC action filed by the shipper." The Commission's conclusion has no relevance here: the TPC names the direct demands that SEC made to COSCO, rather than the SEA Complaint, as a critical element of the Samsung entities' unlawful scheme. TPC ¶¶ 49-51, 65.

allegations” about SEA’s complaint. *Id.* Moreover, COSCO’s claim is predicated on the Samsung entities’ effort to obtain unjustified rates by concealing their intention not to comply with the Service Contracts’ requirement that the Samsung entities would be financially responsible for all delays except those caused by COSCO, and their demands for refunds and payments —apart from SEA’s complaint. COSCO’s Third-Party Complaint regarding the Samsung entities’ attempt to obtain COSCO services at less than the applicable charges thus stands on its own footing—not SEA’s complaint.

Likewise, as to the Samsung entities’ first scheme—using concealment to obtain lower ocean freight rates than would otherwise be available, the crux of the deception by the Samsung entities does not turn on the filing of the SEA Complaint. Rather, COSCO’s claim relies on the fact that SEC and the other Samsung entities induced COSCO to enter into the Service Contracts by concealment. The Samsung entities thereby attained fraudulent access to lower rates and other favorable terms that the Service Contracts provided, which continued throughout the term of the Service Contracts. As detailed above, COSCO offered the Samsung entities rates lower than the otherwise applicable tariff rates available to the shipping public based on two main conditions – that (i) SEC and the other Samsung entities guarantee a certain minimum cargo volume and (ii) SEC and the other Samsung entities agree, as made crystal clear by the Service Contracts and incorporated public tariff, that they, not COSCO, would be legally responsible for any delay charges involving the trucker chosen and controlled by the Samsung entities, unless resulting from COSCO fault.

SEC, by negotiating the Service Contracts under those conditions, without any objection or reservation of rights, agreed to the minimum volume commitment and its own liability for delays attributable to actions by the Samsung entities, or their truckers. But SEC and the other Samsung

entities knowingly failed to inform COSCO – then or during the term of the Service Contracts – that they would not abide by the assignment of liability to which they had plainly agreed. Had SEC or any of the other Samsung entities told COSCO of this carefully hidden reservation, COSCO would not have entered into the Service Contracts – requiring the Samsung entities to use COSCO’s transportation services, if at all, only pursuant to much higher tariff rates – or would have entered into service contracts only at rates much higher than those granted by COSCO.

The same would have been true during the term of the Service Contracts. Had any of the Samsung entities announced their intention to dishonor their responsibility for delay fees, COSCO would have taken countermeasures, including possible termination of the contracts, unless SEC and the other Samsung entities agreed to higher rates, or employment of a dispute resolution mechanism.

The Commission has repeatedly found an unjust or unfair device or means where the shipper has induced a carrier to enter into a contract providing lower rates by concealing relevant facts. In *Unpaid Freight Charges*, for example, the Commission stated that it would have jurisdiction if the facts alleged “some kind of inducement or deceit” to obtain favorable treatment from a carrier. *See, e.g., Tropical Shipping & Construction Co v. Valley Wide Produce, Inc.*, FMC Dkt No. 93-05, 1993 WL 285897 at *1 (“Tropical claims that it was induced to provide shipment on a collect basis because Valley entered into a credit agreement.... [S]uch conduct by shippers will support claims of violations of section 10(a)(1)"); *Rana v. Franklin*, FMC Dkt. No. 19-03, 2020 WL 2538465 at *3 (Initial Decision, May 12, 2020) (“There is an abundance of evidence in the record that establishes fraud and deceit by the Respondent. In February 2019, the Respondent knew or reasonably suspected that her company may close soon, but failed to disclose this material information to the complainant when they entered into an agreement.”), *aff’d*, 2022 WL 1744905

(FMC May 25, 2022); *Waterman S.S. Corp v. General Foundries, Inc.*, FMC Dkt. No. 93-15, 1994 WL 279898 at *7 (FMC 1994); *Shipco Transport, Inc. v. Saturn Air Cargo*, FMC Dkt. No. 25-07, 27 S.R.R. 437, *3-4 (Initial Decision, June 2, 1995) (admin. final) (respondent NVOCC induced complainant to extend it credit and release cargo).¹²

The Commission has recently indicated that the “unjust or unfair device or means” element requires conduct that involves fraud or concealment as to a factual matter.” *SEA v. OOCL*, 2025 WL 2207363 at *5. But misrepresenting one’s intentions and acceptance of an agreement as written has been deemed sufficiently factual to constitute an unfair or unjust device or means. For example, in *Tropical Shipping*, the Commission held a violation of 46 U.S.C. § 41102(a) occurred because an ocean carrier was induced to provide shipment on a collect basis by the shipper’s entering into a credit agreement and failure to pay the full amount due. *Tropical Shipping* at *1. Likewise, in several cases, violations have been found where shippers have attained benefits by presenting, then canceling checks, thereby misrepresenting their position. *See, e.g., Waterman S.S. Corp*, 1994 WL 279898 at *7; *Shipco Transport, Inc.*, 27 S.R.R. 437 at *4; *Global Transporte Oceanico S.A. v. Coler Ocean Independent Lines Co.*, FMC Dkt. No. 99-14, 1999 WL 1000658 at *2 (Initial Decision, October 1, 1999) (Respondent presented a bad check, then made partial payment and agreed in writing to pay the balance due in installments but reneged on this written agreement.).

Even if COSCO had relied on the SEA Complaint as a basis for its claim against SEC, which it did not, the Third-Party Complaint would still make out a plausible claim under 46 U.S.C. § 41102(a). An unjust or unfair device or means may be found where the shipper interposes non-

¹² Although these cases involved inducement to release cargo or carry it without prepayment, there is no logical distinction between that situation and one where a shipper induces a carrier to enter into a service contract at rates the carrier would not have agreed to absent concealment or misrepresentation by the shipper.

meritorious arguments in litigation. Multiple cases have rejected the basic assertion of the SEA Complaint that ocean carriers are *per se* liable for all delay charges incurred in connection with store door transportation, yet the Samsung entities continue asserting that rejected theory as the basis for virtually all their claims.

For example, in *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979), an unjust or unfair device or means was found based, in part, on the shipper's continuous assertion of invalid defenses. And in *Bank Line Limited v. Jet Set Marine, Inc.*, FMC Dkt. No. 91-58, 26 S.R.R. 380 (ALJ Denial of Summary Judgment, May 8, 1992), the Presiding Officer recognized that assertion of erroneous defenses might constitute an unfair or unjust device or means but found the evidence at the summary disposition stage insufficient to render a decision. Although these cases involved non-meritorious defenses, the rationale for liability applies equally to a non-meritorious claim of violation.

4. SEC Sought and Obtained Rates and Charges Lower than Otherwise Applicable.

The TPC alleges two ways by which SEC and the other Samsung entities sought and/or obtained rates and/or charges lower than those otherwise applicable. First, as SEC affiliate and agent SEA has acknowledged, the Samsung entities have refused to pay COSCO over \$4 million in detention charges for which the entities were legally responsible. TPC ¶¶ 45, 49, 53. Accordingly, because the Presiding Officer must take as true COSCO's well-pleaded allegation that that these amounts were properly assessed, the Samsung entities have used COSCO's equipment at \$4 million lower than the applicable total charges.

Under *Hohenberg* and other cases discussed above, the demands by Samsung entities that COSCO refund lawful charges constitute an unfair and unjust means to obtain charges lower than the otherwise applicable charge. Accordingly, facts alleged by COSCO about the Samsung entities'

repeated attempts to coerce COSCO into refunding lawful charges are sufficient to state a plausible claim that SEC and the Samsung entities improperly attempted to obtain charges lower than those otherwise applicable.

Second, as discussed above, COSCO alleges that the Samsung entities engaged in an extended campaign of mischaracterizing and concealing relevant facts to achieve ocean freight rates that they would not have obtained from COSCO had they been forthright and forthcoming at the start and throughout the term of the contract. TPC ¶¶ 45-49. Thus, the Samsung entities both attempted to and did obtain rates below those that would have applied absent its concealment (*i.e.*, tariff rates or higher contract rates).

II. THE PRESIDING OFFICER MAY NOT IMPOSE A HIGHER STANDARD OF PLEADING.

SEC's argument is almost entirely predicated on its position that claims under 46 U.S.C. § 41102(a) must be pleaded with the same degree of specificity as mandated for fraud cases in federal court by Fed. R. Civ. P. 9(b). SEC does not cite a single case where the Commission adopted such a pleading requirement, even though the FMC has been adjudicating cases of alleged violations of § 41102(a) and its predecessors for almost 90 years. If such a pleading requirement applied, the Commission surely would have said so in its regulations or many decisions. To the contrary, SEC well knows that the FMC has repeatedly and steadfastly refused to apply any type of heightened pleading requirement to any cause of action under the Shipping Act.¹³

More importantly, the Commission has expressly and repeatedly rejected applying Fed R. Civ. P. 9(b) to claims under § 41102(a).

¹³As recognized in another proceeding brought by the Samsung entities: "SEA is correct that heightened specifics are not required...." *Samsung Elec. Am., Inc. v. HMM Co. Ltd.*, FMC Dkt No. 24-23 at *16 (ALJ Order Partially Granting Motion to Dismiss, March 24, 2025); *see also Maher Terminals, LLC v. the Port Authority of New York and New Jersey*, FMC Dkt. No. 12-02, 2015 WL 9426189 at *12-14 (Dec. 18, 2015).

In 1993, the Commission proposed to amend its procedural rules to add a requirement, similar to FRCP 9(b), stating that “in all complaints alleging violations of Section 10(a)(1) of the 1984 Act [the immediate predecessor to 46 U.S.C. § 41102(a)]... the circumstances constituting such violations must be stated with particularity.” *Miscellaneous Amendments to the Rules of Practice and Procedure*, 26 S.R.R. 1053, 1053 (FMC 1993). After comments, however, the Commission concluded that no such new procedural rule regarding Section 10(a)(1) was warranted and that the liberal general notice pleading requirements of the Commission’s procedural rules should apply equally to all alleged violations of the Shipping Act, including 46 U.S.C. § 41102(a). *Id.* at 1055 (“[W]e are satisfied that a new procedural rule applicable to only to section 10(a)(1) is *not needed*....”) (emphasis added). This formal determination demonstrates conclusively that the rules do not contemplate heightened standards of pleading for § 41102(a) cases, and it also precludes application of 46 C.F.R. § 502.12 to import FRCP 9(b) into the Commission’s Rules unless and until the Commission itself reverses its above conclusion, because that Rule permits importation only “to the extent that they are consistent with sound administrative practice.”

The Commission’s express decision not to require a heightened pleading standard for complaints raising claims under 46 U.S.C. § 41102(a) was reaffirmed by then-Chief Administrative Law Judge Guthridge and the Commission in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Dkt. No. 09-01, 31 S.R.R. 1369 (ALJ Order on Motions to Dismiss), *aff’d in pertinent part*, 32 S.R.R. 126 (FMC 2011). There, Chief Judge Guthridge flatly rejected the argument that complaints alleging violations of 46 U.S.C. § 41102(a) must be pled with greater than normal particularity or otherwise subjected to heightened pleading requirements, explaining:

Commission Rule 62 sets forth the requirements for a private complainant initiating a complaint proceeding. The Commission’s Rules do not include an equivalent to Rule 9(b) that requires a party to state with particularity the circumstances constituting fraud.... Neither [of the Respondents] cite to any Commission

proceeding in which the pleading standard set out in Rule 9(b) was imposed on a complainant. As noted above, pleadings in administrative proceedings are not considered to be “critically important.”

31 S.R.R. at 1384. Chief Judge Guthridge further declared, “Where the Commission has determined that an equivalent to a federal rule is not needed (i.e., it is not consistent with the Commission’s administrative practice to require stating circumstances of Section 10(a)(1) violations with particularity), I will not hold otherwise.” *Id.* The full Commission upheld Chief Judge Guthridge, over the dissent of Commissioner Khouri, who asserted that FRCP 9(b) should apply. 32 S.R.R. 126 (FMC 2011).

SEC argues that the Commission in *SEA v. OOCL* invited reconsideration as to the standard of pleading for section 41102(a) claims. But that is untrue, as the Commission deliberately refrained from reaching the issue, and it noted that “SEA does not dispute that the *Mitsui* majority rejected the argument that a higher standard should apply.” 2025 WL 2207363 at *13. Moreover, any such reassessment would need to be done by the Commission, not the Presiding Officer, and presumably by rulemaking.

As stated above, the Commission in *SEA v. OOCL* reaffirmed that the current rule does not allow a heightened standard of pleading. The Presiding Officer lacks authority to undo the Commission’s rulemaking or to otherwise change the existing pleading standards set out in the Commission’s Rules.¹⁴

III. SEC’S ARGUMENTS, BASED ON THE WRONG PLEADING STANDARD, LACK MERIT.

SEC has put virtually all its eggs in the heightened pleadings basket. Except for one brief section, it presents its argument on the erroneous assumption that FRCP 9(b) applies, despite the

¹⁴As the Commission stated, “the ALJ clearly did not apply a Rule 9(b) standard.” *SEA v. OOCL*, 2025 WL 2207363, at *7.

Commission's rejection of that position. As SEC's arguments depend on application of heightened pleading requirements that the Commission rejected, they must fail. COSCO nevertheless responds to SEC's erroneous arguments.

A. The TPC Sufficiently Alleges Wrongful Conduct by SEC.

As specifically stated in the TPC, "Third-Party Respondents" or "Samsung" means the three entities named Respondents in the TPC, specifically including SEC. TPC ¶ 5. Accordingly, any allegation in the TPC to Samsung or Third-Party Respondents necessarily applies specifically to SEC, just as if it said SEC. By COSCO's count, that totals approximately over thirty-five (35) additional references applicable to SEC.¹⁵

Furthermore, as SEC acknowledges, the TPC alleges (and SEC does not deny) that SEC was heavily involved in the Service Contract negotiations.¹⁶ SEC was also expressly bound by the Service Contracts it directed its affiliates to sign. SEC thus had a clear opportunity to tell COSCO that it disputed the very contracts it was telling its affiliates to sign.¹⁷

SEC also incorrectly asserts that no facts are alleged about SEC's state of mind. Mot. at 5. Although that assertion is untrue (as shown below), even under the heightened pleading standard which SEC incorrectly seeks to apply, "... intent, knowledge, and other conditions of a person's

¹⁵If SEC had a real concern, the appropriate remedy would have been a Motion for a More Definite Statement, as specifically authorized by 46 C.F.R. 502.67. Further, the TPC alleges that SDS, SEC, and Logitech acted together, as well as with SEA, and so are joint and several violators of the Shipping Act, meaning the actions of one are equally the actions of the others. Because the Samsung entities have themselves obscured which entity took which actions, it is not appropriate at this stage to require COSCO to be more specific.

¹⁶See e.g., TPC ¶ 65 ("Third-Party Respondents...violated 46 U.S.C. § 41102(a)(1) by ...negotiating and entering into Service Contracts with Cosco...[and] inducing Cosco to enter into the Service Contracts....").

¹⁷If SEC asserts that it did not, through its affiliates, agree to the Service Contracts, then they are both invalid and all shipments thereunder must be re-rated to the applicable tariff rates. 64 Fed. Reg. 11186, 11198 (March 8, 1999) (Interim Final Rule) (adopted as final May 4, 1999) (notice to FMC required to guard against "unjust device to obtain rates otherwise not applicable"); 46 U.S.C. § 41104(a)(2); 46 C.F.R. § 520.7(c); 46 C.F.R. § 530.10.

mind *may be alleged generally*.” Fed. R. Civ. P. 9(b)(emphasis added). COSCO has sufficiently alleged SEC’s state of mind here. Furthermore, the only state of mind that matters to a claim under 46 U.S.C. 41102(a) is that the conduct be knowing and willful. That is sufficiently alleged, including with factual support, in the TPC, as previously discussed.

B. SEC’s Argument Regarding Breach of Contract Is Irrelevant.

SEC also asserts that “[a] claim for breach of contract does not establish an intent not to perform the contract.” Mot. at 12. Even if that proposition were true,¹⁸ it is irrelevant because it mischaracterizes COSCO’s claim. Although COSCO reserves its right to bring a breach of contract claim in court or by arbitration in Hong Kong as provided by the Service Contracts, that is not at issue here.¹⁹ Rather, COSCO asserts that the Samsung entities used the fraudulent tactic of deception and concealment to induce COSCO to give them low rates, but, as in *Tropical Shipping*, never intending to honor their commitments.²⁰ The Commission has repeatedly held that the same nucleus of facts may give rise to both breach of contract claims to be heard in court and Shipping Act violations within the Commission’s jurisdiction, and the FMC is duty-bound, to hear cases where a Shipping Act violation is alleged even if the dispute might also be heard in court.²¹

¹⁸To the contrary, see *Tropical Shipping, supra*, where breach of a credit agreement was considered as evidence of a knowing and willful unfair device or means.

¹⁹The FMC has no authority to hear claims of breach of contract. 46 U.S.C. § 40502(f) (exclusive remedy for a breach of a service contract is an action in an appropriate court); *see also, MSC Mediterranean Shipping Co. S.A. v. Fed. Mar. Comm’n*, 141 F.4th 222, 235 (D.C. Cir. 2025) (citing with approval *Dnb Exps. LLC v. Barsan Glob. Logistik*, 2011 WL 7144017, at *4-5 (F.M.C. July 7, 2011) (dismissing breach of contract counterclaim where complainants “d[id] not allege a violation of the Shipping Act”)).

²⁰SEC’s quotation from W. Prosser, *The Law of Torts*, §109 (4th Ed. 1971) thus misses the point. The passage states that “[W]hen a promise is made in good faith, in the expectation of carrying it out” a cause of action for deceit is not established. Mot. at But the TPC alleges that SEC’s promises were not made in good faith and with the expectation of not carrying them out.

²¹As Chief ALJ Wirth has explained: “The Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims.” *MCS Industries, Inc. v. Cosco Shipping Lines Co., Ltd.*,

C. COSCO Alleges “Knowing and Willful” Conduct by SEC.

Each reference to the “Third-Party Respondents” by definition includes SDSAP *and* SEC *and* Logitech. And as specifically relevant to the knowing and willful element, the TPC specifically alleges willful and knowing misconduct by SEC, SDSAP and Logitech. TPC ¶ 54. *See also, e.g.*, TPC ¶¶ 53-61 (providing details). These allegations must be taken as true.

D. The TPC Alleges False or Fraudulent Conduct by SEC that benefited SEC and the Other Samsung Entities.

In yet another variation of its theme, SEC asserts that COSCO does not allege false or fraudulent conduct by SEC. Section 41102(a), however, extends beyond false or fraudulent conduct. The Section requires only “*some element* of falsification, deception, fraud, or concealment.” *Unpaid Freight Charges*, 26 S.R.R. 735, 737 (FMC 1993) (emphasis added) (quoting from *Pacific Far East Lines – Alleged Rebates*, 11 F.M.C. 357, 364 (FMC 1968), *aff’d* 410 F.2d 237 (D.C. Cir. 1969)). The TPC meets that requirement as to the Third-Party Respondents, including SEC. *See, e.g.*, TPC ¶¶ 59, 66. The gravamen of this quibble by SEC is that the TPC does not include specific details, but COSCO need not provide more detailed allegations under the facial plausibility pleading standard.

Even more oddly, SEC claims that it obtained no benefit from its concealment. Yet, it is undeniable that the Service Contracts gave SEC and its affiliates favorable rates, terms, and conditions, which COSCO would not have granted absent the concealment. According to COSCO’s estimate, SEC and the other Samsung entities received about \$36 million in ill-gotten benefits, including shipping at more than \$32 million below the legally applicable charges. TPC

2023 WL 9604492, at *13 (Initial Decision, January 13, 2023) (quoting *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006)).

¶¶ 70-71. Those benefits accrued to SEC, as the parent organization, even if SEC assigned some aspects to its subsidiary and agent SEA.²²

IV. COSCO IS ENTITLED, IF NECESSARY, TO AMEND THE TPC.

Even if the allegations of the Third-Party Complaint were somehow found deficient, it would be necessary for the Presiding Officer to allow COSCO an opportunity to amend its TPC, just as SEA was allowed to amend its defective Complaint. As the Commission has explained:

Although the ALJ may in [their] discretion dismiss a [pleading] without leave to amend, the Commission typically allows liberally.... This approach is similar to that taken by federal courts, which usually allow leave to replead after granting a motion to dismiss.... Generally, where a more carefully drafted complaint might state a claim, a plaintiff must be provided with at least one opportunity to amend before the court dismissed with prejudice.... The standards for dismissing a complaint with prejudice is high.

Maier Terminals, LLC v. PANYNJ, No. 1202, 2015 WL 9426189 at *39 (FMC 2015) (citations and internal quotation marks omitted).

In *Maier*, the Commission upheld the dismissal with prejudice of some claims, while reversing the dismissal of others, saying:

The ALJ's conclusion that amendment would be futile, however, is unsupported. The ALJ did not explain why it would be futile for Maier to amend its complaint nor find that the allegation of other facts consistent with the challenged proceeding could not possibly cure the deficiency. There is no reason to believe that, if granted leave to amend, Maier could not cure some of the complaint's deficiencies.

Id. at *40 (citation and internal quotation marks omitted).

Here, COSCO could easily cure or supplement any deficiency that the Presiding Officer might identify, although COSCO reasonably believes there are none. If the Presiding Officer

²²SEC's assertion that SEA has not received the "benefit" of its concealment because "SEA paid the detention and demurrage charges" (Mot. at 18-19) not only ignores the ill-gotten reduced shipping charges it and its cohorts received, but is based on an incorrect factual premise: SEA has paid only a portion (and seeks a refund of what it has paid) of the detention and demurrage charges to which COSCO is entitled, and has refused to pay COSCO at least \$4 million in lawful detention charges. TPC ¶¶ 51, 72.

concludes that some of the allegations are not sufficiently clear or complete, COSCO should be given the opportunity to amend.²³ This is amply reaffirmed by the FMC's very recent decision in *SEA v. OOCL*, in which the Presiding Officer properly dismissed the complaint as filed but erred in not permitting OOCL an opportunity to amend.

V. CONCLUSION

For the foregoing reasons, SEC's Motion should be denied and the dispute between COSCO and SEC should proceed to discovery.

Dated: August 26, 2025

Respectfully submitted,

/s/ Rebecca Fenneman

JEFFREY/FENNEMAN LAW + STRATEGY,
PLLC

Eric C. Jeffrey

Rebecca A. Fenneman

Kaya C. Massey

700 12th Street, NW Suite 700

Washington, DC 20005

EJeffrey@JeffreyFenneman.com

RFenneman@JeffreyFenneman.com

KMassey@JeffreyFenneman.com

NIXON PEABODY LLP

Gordon L. Lang

Brian J. Whittaker

Martha A. Medina

²³The Commission's Administrative Law Judges have liberally allowed leave to amend pleadings. *See, e.g., D.F. Young, Inc. v. Wallenius Wilhelmsen Logistics*, FMC Dkt. No. 23-14, 2024 WL 402469 at *2 (ALJ Order Granting Leave to Amend Complaint, January 23, 2024); *CCMA LLC v. Maersk A/S*, FMC Dkt. No. 22-01, 2022 WL 458571 *2 (ALJ Order Granting Motion to Amend Complaint, February 7, 2022); *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd.*, FMC Dkt. No. 21-05, 2022 WL 458569 at *2 (ALJ Order on Motion to Amend Complaint, February 4, 2022); *Simple Forwarding, Inc. v. China United Lines Ltd. and Norton Lilly Int'l*, FMC Dkt. No. 2010(F) at *3-4 (ALJ Order granting claimant's motion for leave to amend complaint, October 4, 2024); *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, FMC Dkt. No. 24-10 at *2 (Order Granting Motion for Leave to File an Amended Complaint, October 4, 2024); *Kanu v. Ejike Dickson Eze*, FMC Dkt. No. 25-05, at *1 (Order requiring complainant to file a motion for leave to amend and proposed amended complaint, May 28, 2025).

799 9th St, NW Suite 500
Washington DC 20001
Glang@nixonpeabody.com
Bwhittaker@nixonpeabody.com
mmedina@nixonpeabody.com

*Counsel for Respondent/Third Party Complainant
COSCO Shipping Lines Co., Ltd.*

CERTIFICATE OF SERVICE

I hereby certify that on this 26th day of August, 2025, a true and correct copy of the foregoing Respondent's Response to Third-Party Respondent's Motion to Dismiss Third-Party Complaint was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

HOHENSTEIN & PARKINSON, LLP

Counsel for Third-Party Respondents Samsung Electronics Company., Ltd, Samsung SDSAP Global SCL Asia Pacific PTE LTD, and Samsung Electronics Logitech Company, Limited

James H. Hohenstein, Esq.
Jim.hohenstein@hplawnyc.com

HOLLAND & KNIGHT , LLP

Counsel for Complainant Samsung Electronics America, Inc.

Christopher R. Nolan, Esq.
Chris.nolan@hklaw.com
Gerald A. Morrissey III, Esq.
Gerald.morrissey@hklaw.com
Kristine O. Little, Esq.
Kristine.little@hklaw.com
Allison N. Skopec, Esq.
Allison.skopec@hklaw.com

Dated: August 26, 2025

/s/ Martha A. Medina